NVIDIA Corporation

NVDA NASDAQ

Buy **$205.86** ▲ 1.50%

12M Price Target **$240.00**

52-Week Range $164.07 – $236.54

Market Cap $4.99T

NVDA: Peace Hopes and AI Buildout Keep Bulls in Control

WHAT HAPPENED

- NVDA bounced +1.5% off Friday's dip to $202.81 — the tape is following "peace hopes" headlines (per IBD's morning wrap), meaning the market is pricing in reduced geopolitical friction, which is a direct positive for NVDA since China revenue and Taiwan supply chain are its two biggest overhangs.
- Data center plays are rallying broadly (IREN raised its AI cloud target, Hut 8 landed a $9.8B deal) — this is confirmation that hyperscaler and neocloud capex is still accelerating, and every one of those deals eventually flows back to NVDA GPU orders.

WHY IT MATTERS

The options flow is screaming bullish — the put/call ratio at 0.54 (meaning nearly 2 calls bought for every put) plus that massive 104,888-contract call sweep at $207.50 tells you somebody with size is betting on a near-term breakout above $210. Combine that with peers like IREN and Hut 8 signing billion-dollar AI infrastructure deals, and the read-through is clear: the AI capex cycle isn't slowing, it's broadening. The stock is sitting at 58% of its 52-week range with room to run back toward the $236 high — that's the setup traders are positioning for. The one thing giving me pause: Intel is up 278% YTD, which suggests some money is rotating out of the obvious AI winner (NVDA) into the turnaround stories, so NVDA might grind rather than sprint from here.

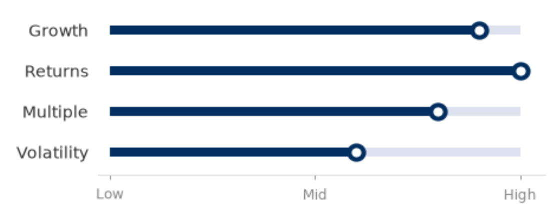
POLICY & POLITICAL WATCH

The big one right now is the China export license situation — the Trump administration reversed course earlier this year and let NVDA resume H20 chip shipments to China in exchange for a 15% revenue cut to the US government (a first-of-its-kind arrangement). If that framework holds, NVDA gets back $10-15B in annual China revenue; if Congress pushes back on the revenue-share deal as unconstitutional (there's chatter about legal challenges), that upside evaporates. Also watch the CHIPS Act 2.0 discussions — expanded domestic semiconductor manufacturing credits would benefit NVDA indirectly via cheaper TSMC Arizona capacity, and any tariff escalation on Taiwan-made chips would be a direct hit to margins.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$205.86**
12M Price Target	**$240.00**
Upside / (Downside)	**+16.6%**
Market Cap	**$4.99T**
FY2027E Revenue	**$235M**
FY2028E Revenue	**$295M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.40**
Fwd P/E	**35.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

NVDA — NVIDIA Corporation | July 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$220.00**	$210.00	**$195.00**
6 Months	**$250.00**	$225.00	**$180.00**
1 Year	**$285.00**	$240.00	**$170.00**
2 Years	**$340.00**	$275.00	**$160.00**
5 Years	**$500.00**	$380.00	**$200.00**
10 Years	**$800.00**	$550.00	**$250.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Data center infrastructure and AI compute (Hut 8, IREN, Sandisk rebounding) — the buildout capex isn't slowing, and "peace hopes" are removing a geopolitical discount. Energy is also warming as AI power demand becomes a real theme.

COOLING OFF: Consumer Staples and Industrials — classic risk-on rotation where defensive names lag when peace/growth narratives dominate. Tech is down 2.37% over 5 days, so there's been some profit-taking to digest.

ROTATION WATCH: Money is rotating within tech — out of the "safe" mega-cap AI winners and into the beaten-down turnarounds (Intel +278% YTD is the tell) and the picks-and-shovels neoclouds. That's a signal the AI trade is broadening, not dying.

RELATED PLAY: If NVDA's ecosystem keeps expanding, the power and cooling infrastructure names (Vertiv, Eaton, GE Vernova) and data center REITs (Equinix, Digital Realty) are the second derivative — they get paid whether NVDA or AMD wins the chip war.

WHO'S WINNING IN THIS SPACE?

- INTC (Intel): +278% YTD — turnaround story with foundry momentum and government backing; a policy winner from CHIPS Act support.
- IREN (Iren Ltd): Raised AI cloud revenue target this morning — neocloud demand for GPU capacity is exploding.

NVDA CONTEXT: NVDA is lagging its ecosystem right now — the money is chasing the second and third derivatives (neoclouds, turnarounds) because NVDA is already "known." That's actually healthy: it means the AI trade is deepening rather than dying, and NVDA typically catches back up when the next earnings print reminds everyone who's actually printing the money.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: $195-205 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth drops below 20% YoY, or China H20/B-series export license gets pulled again

Hedging: Buy protective puts 10% out of the money, or pair with a short position in a smaller GPU competitor